

unprofitable divisions? This can make a big difference in earnings. For example, in 1980 Lockheed earned \$8.04 per share from its defense business, but it lost \$6.54 per share in its commercial aviation division because of its L-1011 TriStar passenger jet. The L-1011 was a great airplane, but it suffered from competition with McDonnell Douglas's DC10 in a relatively small market. And in the long-distance market, it was getting killed by the 747. These losses were persistent, and in December, 1981, the company announced that it would phase out the L-1011. This resulted in a large write-off in 1981 (\$26 per share), but it was a one-time loss. In 1982, when Lockheed earned \$10.78 per share from defense, there were no more losses to deal with. Earnings had gone from \$1.50 to \$10.78 per share in two years! You could have bought Lockheed for \$15 at the time of the L-1011 announcement. Within four years it hit \$60, for a fourbagger.

Texas Instruments was another classic turnaround. In October, 1983, the company announced it would leave the home-computer business (another hot industry with too many competitors). It had lost over \$500 million from home computers in that year alone. Again, the decision made for big write-offs, but it meant that the company could concentrate on its strong semiconductor and defense-electronics businesses. The day after the announcement, TI stock spurred from \$101 to \$124. And four months later it was \$176.

Time also has sold off divisions and dramatically cut costs. It is one of my favorite recent turnarounds. Actually it's an asset play as well. The cable-TV part of the business is potentially worth \$60 a share, so if the stock sells for \$100, you're buying the rest of the company for \$40.

- Is business coming back? (This is what's happening at Eastman Kodak, which has benefited from the new boom in film sales.)

- Are costs being cut? If so, what will the effect be? (Chrysler cut costs drastically by closing plants. It also began to farm out the making of a lot of the parts it used to make itself, saving hundreds of millions in the process. It went from being one of the highest-cost producers of automobiles to one of the lowest.

The turnaround in Apple Computer was harder to predict. However, if you'd been close to the company, you might have noticed the surge in sales, the cost-cutting, and the appeal of the new products, which all came at once.)

## ASSET PLAYS

- What's the value of the assets? Are there any hidden assets?
- How much debt is there to detract from these assets? (Creditors are first in line.)
- Is the company taking on new debt, making the assets less valuable?